

Table 5.1 Actual Trading Costs—Simple Linear Regression Results

Large Cap Stocks				
	Size	Volatility	POV	Price
Est.	150.72	11.44	19.86	−0.03
SE	33.89	3.37	3.72	0.01
t-stat	4.45	3.40	5.34	−3.48
R ²	44%	40%	36%	24%
Small Cap Stocks				
	Size	Volatility	POV	Price
Est.	221.62	19.60	37.42	−0.16
SE	53.24	3.00	6.25	0.09
t-stat	4.16	6.53	5.99	−1.87
R ²	40%	72%	39%	16%
Stock Characteristics				
			LnMktCap	Price
Est.			−2.93	−876.64
SE			0.30	175.68
t-stat			−9.92	−4.99
R ²			70%	37%
Notes: Simple linear regression results Costs were analyzed compared to each variable separately These results are not that of a multi-linear regression				

$$MI_{bp} = b_1 \cdot I^* \cdot POV^{a_4} + (1 - b_1) \cdot I^* \quad (5.2)$$

where,

- I = instantaneous impact cost expressed in basis points (bp)
- MI = market impact cost expressed in basis points (bp)
- S = shares to trade
- ADV = average daily volume
- POV = percentage of volume expressed as a decimal (e.g., 0.20)
- σ = annualized volatility expressed as a decimal (e.g., 0.20)
- a_1, a_2, a_3, a_4, b_1 = model parameters (estimated below)